

management. The analogy with the long-established professional title of certified public accountant (CPA) is evident and intentional. This relatively new apparatus of recognition and control should serve to elevate the standards of financial analysts and eventually to place their work on a truly professional basis.[†]

Dealings with Brokerage Houses

One of the most disquieting developments of the period in which we write this revision has been the financial embarrassment—in plain words, bankruptcy or near-bankruptcy—of quite a few New York Stock Exchange firms, including at least two of considerable size.^{*} This is the first time in half a century or more that such a thing has happened, and it is startling for more than one reason. For many decades the New York Stock Exchange has been moving in the direction of closer and stricter controls over the operations and financial condition of its members—including minimum capital requirements, surprise audits, and the like. Besides this, we have had 37 years of control over the exchanges and their members by the Securities and Exchange Commission. Finally, the stock-brokerage industry itself has operated under favorable conditions—namely, a huge increase in volume, fixed minimum commission rates (largely eliminating competitive fees), and a limited number of member firms.

The first financial troubles of the brokerage houses (in 1969) were attributed to the increase in volume itself. This, it was claimed, overtaxed their facilities, increased their overhead, and produced many troubles in making financial settlements. It should be pointed out this was probably the first time in history that important enterprises have gone broke because they had more business than they could handle. In 1970, as brokerage failures increased, they were blamed chiefly on “the falling off in volume.” A strange complaint when one reflects that the turnover of the NYSE in 1970 totaled 2,937 million shares, the *largest* volume in its history and well over twice as large as in any year before 1965. During the 15 years of the bull market ending in 1964 the annual volume had averaged “only” 712 million shares—one quarter of the 1970 figure—but the brokerage business had enjoyed the greatest prosperity in its history. If, as it appears, the member firms as a whole had allowed their overhead and other expenses to increase at a rate that could not sustain even a mild reduction in volume during part